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Cyprus: Laiki Bank Ad Hoc Emergency Liquidity Assistance, 2011¹

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Abstract

Following the European Union's decision to restructure Greek debt in October 2011, Laiki Bank's depositors began to withdraw their funds from the bank in growing numbers after it reported that its portfolio of Greek government bonds had lost EUR 2.3 billion in value. Beginning October 2011 and lasting until the bank's resolution in 2013, Laiki Bank requested and received emergency liquidity assistance (ELA) from the Central Bank of Cyprus (CBC) so that the bank could continue to fund itself as depositors withdrew their funds. In June 2012, Cypriot authorities recapitalized Laiki Bank, and the government became an 84% shareholder. From July 2012 through March 2013, Cypriot authorities were in negotiation with the troika—the International Monetary Fund, European Commission, and European Central Bank—for a rescue deal for the government. During this time, ELA to Laiki Bank reached 60% of the Cypriot gross domestic product. Ultimately, in March 2013, Cyprus put Laiki Bank into resolution. The CBC took over and coordinated the transfer of Laiki Bank's insured deposits, along with most assets (including the EUR 1.8 billion Cyprus government bond from the June 2012 recapitalization) and some senior liabilities, through a purchase and assumption transaction to the Bank of Cyprus. This included the rollover to the Bank of Cyprus of Laiki Bank's EUR 9.1 billion in outstanding ELA owed to the Central Bank of Cyprus. After the transaction, the Bank of Cyprus had a total of EUR 11.4 billion of ELA funding as of April 2013. It paid most of this back by the end of 2015 and had fully repaid it by January 2017. The size and extent of the ELA provided to Laiki Bank was controversial, however. According to the CBC, resolving the bank earlier wasn't feasible because of fiscal and political constraints.

Keywords: ad hoc emergency liquidity, Bank of Cyprus, Central Bank of Cyprus, emergency liquidity assistance, European Central Bank, Laiki Bank

¹ This case study is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering ad hoc emergency liquidity provision. A survey of all the cases in this series (Kelly et al. 2025) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/>. Wiggins et al. (2022) surveys broad-based emergency liquidity programs.

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Overview

This case study describes the ad hoc emergency liquidity assistance (ELA) provided to Laiki Bank from October 2011 to March 2013.

The Greek sovereign debt crisis, which began in 2009, hit Cypriot banks particularly hard. The country’s two largest banks, Bank of Cyprus and Laiki Bank, lost EUR 1.8 billion and EUR 2.3 billion (USD 2.4 billion and USD 3.1 billion),³ respectively, on their Greek government bonds after the European Union (EU) decision in October 2011 to haircut Greek government bonds.

Beginning October 2011 and lasting until the bank’s resolution in 2013, the bank requested and regularly received emergency liquidity assistance from the Central Bank of Cyprus (CBC), and until June 2012 requested liquidity assistance from the European Central Bank (ECB) so the bank could continue to fund itself as depositors withdrew their funds. As of November 29, 2011, Laiki Bank had drawn EUR 4.6 billion in ELA. In December 2011, Laiki Bank’s ELA usage was EUR 3.5 billion. At the end of 2011, the bank’s available liquidity ratio was 2.3% (including ELA), significantly below the 20% minimum set by the CBC (CBC 2013b; EC 2012; NYT 2014e). For more information on the resolution of Laiki Bank, see Schaefer-Brown (2024a).

On December 8, 2011, the European Banking Authority (EBA) announced the results of a stress test of 71 banks across Europe using data from September 2011, and it identified a EUR 1.97 billion capital shortfall at Laiki Bank. Supervisors later raised that estimate to EUR 3.1 billion. In January 2012, Laiki Bank presented a recovery plan to the CBC

Key Terms

Purpose: To temporarily support Laiki Bank when it began to lose deposits following a loss on its Greek government bonds

Announcement Date Unavailable

Operational Date Laiki Bank began receiving ELA in October 2011

Termination Date Last ELA provision: March 25, 2013;
Final ELA repayment: January 2017

Legal Authority Article 14.4 of the Statute of the European System of Central Banks and of the ECB gives national central banks the power to provide ELA, subject to ECB approval

Administrator Central Bank of Cyprus

Peak Authorization Unavailable

Peak Outstanding The highest reported figure was EUR 9.8 billion

Collateral The ECB needed to approve all collateral; between 2011 and 2013, the bank pledged every building it owned, as well as batches of loans and bonds, as collateral

Haircut and Recourse Haircuts were applied based on residual maturity and coupon type; when ratings fell below the Eurosystem threshold, additional haircuts were added depending on the rating shortfall and liquidity category

(continued)

³ Per Bloomberg, EUR 1.00 = USD 1.33 on October 3, 2011.

that included deleveraging, voluntary bond or cash exchange offers with haircuts for bondholders, and a capital raise of EUR 1.8 billion through private investors.

When the bank failed to raise capital from private investors, the government agreed in May 2012 to recapitalize the bank via an injection of government bonds and, on June 30, 2012, became an 84% shareholder. In May 2012, the CBC confirmed the systemic importance of Laiki Bank in a letter to the European Commission (EC). However, the government bonds did not help Laiki Bank's liquidity situation because Fitch Ratings downgraded Cyprus's sovereign credit rating to below investment grade on June 25. At this point, the ECB no longer accepted Cypriot sovereign bonds as collateral for the ECB's liquidity operations (CBC 2011; CBC 2012; CBC 2013b; EC 2012; Laiki Bank 2012b; Noonan 2013).

In August, officials from Laiki Bank submitted a restructuring plan to the CBC that would (1) create a "good" bank, separating nonperforming loans into a "bad"

bank, an asset management company; and (2) force losses on senior bondholders while protecting depositors. But the government amended the plan in response to feedback from the EU and International Monetary Fund (IMF). The new plan was to put the healthy parts of the bank into a new subsidiary that could be sold once separated from the bank's Greek branch. But this plan also failed, as depositors continued to pull their funds, partly due to concerns that the government would impose haircuts on depositors. From November 7 to November 25, 2011, Laiki Bank lost EUR 598 million in deposits. Entering 2012, Laiki Bank had EUR 20.2 billion in deposits, and over the course of 2012, it lost EUR 2 billion in deposits in its Greek branch and one-third of its domestically raised deposits. The outflows of depositors significantly reduced the amount of private sector liability holders available to share losses in the bail-in when the bank was ultimately restructured; about half of the bank's deposits were uninsured, and uninsured deposits greatly exceeded the bank's bail-inable subordinated and senior debt. By September 2012, Laiki Bank's ELA reached EUR 9.8 billion as funds from the central bank replaced funds withdrawn by depositors (CBC 2013b; Döbel 2013; EC 2012; IMF 2014; Noonan 2013; NYT 2014e).

In early 2013, an independent firm estimated that the combined recapitalization needs of Bank of Cyprus and Laiki Bank were EUR 8 billion, approximately 44% of the GDP of Cyprus.

Interest Rate and Fees	ELA provision to Laiki Bank had a higher rate than the Eurosystem rate for the marginal lending facility; the rate on the marginal lending facility during the time Laiki Bank's ELA was in effect ranged from 1.5% to 2.3%
Term	ELA was renewed every 15 days
Part of a Package	The Cypriot government made a capital injection of a EUR 1.8 billion unfunded sovereign bond in June 2012
Outcomes	When Laiki Bank was resolved, its ELA was transferred to Bank of Cyprus, which fully repaid this ELA as well as its own by January 2017
Notable Features	The CBC believed that the troika would provide funds to recapitalize Laiki Bank and therefore kept Laiki Bank open despite its being insolvent at the time

Also in early 2013, the EU and the IMF encouraged the government to downsize the banking sector because it would not be able to afford a recapitalization (Draghi 2015).

Beginning in July 2012, Cypriot authorities were in negotiation with the troika—the IMF, EC, and ECB—for a rescue deal for the government (CBC 2013b). There would have been a precedent for the troika to protect all depositors, since it had done so in other countries. Also, the Cypriot banking association later noted, Laiki Bank's recapitalization needs stemmed from the EU's own decision to haircut Greek government bonds (ACB 2013). But the troika made it a condition of its assistance that Cyprus rescue the two banks without official funds, which required Cyprus to impose substantial losses on depositors (ACB 2013; CBC 2013b; Eurogroup 2013).

On March 15, 2013, the finance minister of Cyprus negotiated a controversial resolution plan for the two banks, which was announced the following day. This deal involved Cyprus raising EUR 5.8 billion through a tax on all banking sector deposits, essentially a forced haircut for all depositors. The proposal included a 9.9% tax on uninsured deposits above EUR 100,000 and a 6.8% tax on insured deposits of EUR 100,000 or less. The Cypriot Parliament rejected this plan on March 19 (IMF 2014; Noonan 2013; O'Brien 2013).

When the Cypriot Parliament rejected this plan, Cyprus reached out to Russia for help. Previously, Russia had loaned Cyprus EUR 2.5 billion, which Cyprus received in three tranches from 2011 to 2012. However, Russia did not provide Cyprus with further funds when asked for help in March 2013 (ESM 2019).

On March 21, 2013, the ECB did not renew its approval for the CBC to provide any further ELA to Laiki Bank and required it to repay the full amount by March 26. This would have meant the disorderly bankruptcy of Laiki Bank and the bankruptcy of the country since the Cypriot deposit guarantee scheme would not have been sufficient to cover the EUR 6.4 billion of insured deposits at Laiki Bank. The ECB said alongside the decision that, come March 26, further ELA "could only be considered if an EU/IMF programme is in place that would ensure the solvency of the concerned banks" (ECB 2013c). To satisfy the troika, Cyprus put Laiki Bank through resolution beginning on March 25, 2013. The CBC took over and coordinated the transfer of Laiki Bank's insured deposits, along with most assets (including the EUR 1.8 billion Cyprus government bond from the June 2012 recapitalization) and some senior liabilities, through a purchase and assumption transaction to the Bank of Cyprus. This included the rollover to the Bank of Cyprus of Laiki Bank's EUR 9 billion in outstanding ELA owed to the Central Bank of Cyprus. After the transaction, the Bank of Cyprus had a total of EUR 11.4 billion of ELA funding as of April 2013 (BoC 2017b; CBC 2013a; CBC 2013b; ECB 2013c; Eurogroup 2013).

The CBC also coordinated the sale of Laiki Bank's Greek operations to Piraeus Bank. The government of Cyprus seemingly received nothing for its 84% stake in Laiki Bank, as the liquidation of Legacy Laiki presumably went first to the bailed-in uninsured depositors who ultimately received about 6 cents on the euro. Laiki Bank's uninsured depositors have remained in the legacy bank as it has been liquidated. The legacy bank received 18% of the share capital of the restructured Bank of Cyprus as compensation. The European Stability

Mechanism (ESM) determined that the government had managed to resolve the bank with minimal use of taxpayer money through a full bail-in of shareholders and bondholders and a partial bail-in of uninsured deposits. At the same time, the government recapitalized the Bank of Cyprus by bailing in its shareholders and bondholders and converting nearly half of its uninsured deposits into equity (BoC 2013; CBC 2013a; CBC 2013b; Cyprus Mail 2019; ESM 2013; Dübel 2013).

On March 25, 2013, the EU and IMF announced an agreement to provide EUR 10 billion in financial assistance to Cyprus through the first quarter of 2016. The troika estimated that Cyprus needed approximately EUR 17 billion, but since this was about the size of the Cypriot GDP and was therefore unsustainable, the troika settled on a EUR 10 billion aid package. As a condition for aid, the troika stipulated that Cyprus could not use these funds to recapitalize Laiki Bank or Bank of Cyprus. Cyprus ultimately drew EUR 6.3 billion from the ESM and EUR 1 billion from the IMF (ESM 2013; ESM 2019; ESM n.d.; Eurogroup 2013).

The Bank of Cyprus repaid the last of its ELA in January 2017. Later in January 2017, the Bank of Cyprus was admitted to listing and trading on the London Stock Exchange. A Reuters article from January 2017 categorized Bank of Cyprus's first public issue since the 2013 bail-in as a strong indicator that the Bank of Cyprus's turnaround story had won over investors. A Bank of Cyprus official stated the bank had made "tremendous progress," citing its repayment of ELA and inflows of cash deposits. As of 2021, the liquidation of Legacy Laiki appeared to still be in progress (BoC 2017a; BoC 2017b; Gledhill 2017; Hazou 2021). Figure 1 shows a timeline of key events in this intervention.

Figure 1: Timeline of Cypriot Interventions into Laiki Bank

Date	Event
2011	Supervisors identify a EUR 3.1 billion capital shortfall at Laiki Bank.
October 2011	Laiki Bank begins receiving ELA from the CBC and collateralized loans from the ECB.
January 20, 2012	Laiki Bank submits a capital plan to the CBC.
May 16, 2012	The CBC confirms the systemic importance of Laiki Bank in a letter to the EC.
May 18, 2012	The minister of finance issues a decree allowing for Laiki Bank's share capital increase.
May 22, 2012	Laiki Bank issues a prospectus for its share capital increase.
June 25, 2012	Fitch Ratings downgrades Cyprus' sovereign credit rating to below investment grade. Cyprus requests recapitalization aid from the troika.
June 30, 2012	The Cypriot government injects EUR 1.8 billion into Laiki Bank.
August 2012	Laiki Bank officials submit a restructuring plan.
March 2013	Laiki Bank stops receiving ELA from the CBC. The Cypriot government puts Laiki Bank through resolution, transferring Laiki Bank's insured deposits to Bank of Cyprus while most uninsured deposits remain in the legacy bank, which receives equity in the Bank of Cyprus.
March 25, 2013	The EU and the IMF announce a EUR 10 billion aid package for Cyprus.

July 30, 2013	Bank of Cyprus announces that it has completed its recapitalization through the bail-in of shareholders, bondholders, and some uninsured deposits.
January 2017	Bank of Cyprus repays the last of its ELA and is admitted to listing and trading on the London Stock Exchange.

Source: Author's analysis.

Summary Evaluation

In April 2013, the new president of Cyprus, Nicos Anastasiades, who came into office on February 28, criticized the governor of the CBC, saying that Laiki Bank continued to receive emergency liquidity assistance from the CBC throughout 2012 despite its being insolvent. He additionally said that the “ECB’s warning that it would pull the plug on emergency liquidity assistance to Cyprus’ banks” forced Cyprus into accepting “tough rescue terms” (Kambas 2013). Anastasiades also said that the governor demonstrated a failure to effectively regulate and supervise the banking system in his decision not to annul the ELA to Laiki Bank with the aim of holding elections in February 2013 (Kambas 2013).

The new president of Cyprus also launched a study on what caused the collapse of the Cypriot economy. This study, which appears to have been commissioned in October 2014, concluded that Laiki Bank had been insolvent before the haircut of Greek bonds in 2012. This study also concluded that the CBC’s assessment in April 2012 that the bank was viable was “glaringly unreliable” and based on “wishful thinking” about promised but still unrealized capital injections, since the bank’s equity was close to zero at the time (NYT 2014e, 21–22).

The study used strong language in criticizing Laiki Bank’s extended reliance on ELA for its survival. It accused the then CBC governor of “abusing the use of the ELA,” adding:

According to ECB regulations, ELA was granted in exceptional cases to solvent financial institutions which were facing temporary liquidity problems, only against collateral . . . The CBC Governor Athanasios Orphanides, in violation of the above rules, facilitated the bank to survive through the use of ELA. (NYT 2014e, 15)

In November 2014, this study was leaked by the *New York Times*. The ECB directly responded to the leak, saying that the ECB did not provide or approve ELA and noting that it is the national central banks that provide ELA and make judgments on whether institutions are solvent. The ECB also said that the ECB can object to ELA on monetary policy grounds, but that such a decision requires two-thirds of the Governing Council to conclude that an ELA is interfering with the tasks and objectives of the euro area monetary policy. The ECB further specified that, in this case, the entire Governing Council requested assurance from the CBC that Laiki Bank was solvent, which the CBC confirmed explicitly. The ECB additionally clarified that it was not the supervisor of this ELA and relied fully on the assessment of the CBC (ECB 2014).

The leaked study also included references to an ECB statement from 2012 that recommended the resolution of Laiki Bank. Despite this opinion, Cypriot authorities did not appear to consider resolving or liquidating the bank. Additionally, leaked correspondence

between the ECB and the CBC revealed that the ECB had concerns about the viability of Laiki Bank and the collateral being used for ELA throughout its provision (CBC 2013b; Demetriades 2013; NYT 2014b; NYT 2014c; NYT 2014d; NYT 2014e).

In June 2013, the CBC released a statement defending its long-running provision of ELA to Laiki Bank and Bank of Cyprus. The statement said that, until March 2013, the Governing Council of the ECB had no objection to the provision of ELA. It also insists that both banks remained solvent under the existing rules at the time until March 25, 2013. The CBC argued that “despite the capital shortages” at the banks, the CBC considered them solvent because of a preliminary memorandum of understanding (MoU) from November 2012, which included EUR 10 billion for the capitalization of the Cypriot banks (CBC 2013c). It said that the ECB ultimately chose to stop providing ELA “due to the lack of clear and binding policy decisions on behalf of the Cypriot side to implement a preliminary agreed financial assistance programme” (CBC 2013c). The statement also said that the provision of ELA was critical to preventing the “disorderly bankruptcy” of the banks, which would have also led to the bankruptcy of the Cypriot state (CBC 2013c). In its 2014 Article IV report, the IMF gave some support to this, saying that Cyprus’s response had involved difficult and unavoidable decisions but limited the burden to the Cypriot taxpayer (IMF 2014).

A study commissioned by the Center for Financial Studies at the University of Frankfurt and published in October 2013 noted that the transfer of ECB claims from Laiki Bank to the Bank of Cyprus was a contentious point in Laiki Bank’s resolution plan because the Bank of Cyprus needed to come up with collateral to back the ECB loans. In June 2013, the government of Cyprus proposed unwinding this transaction and instead transferring Laiki Bank’s ECB claims and corresponding collateral to a separate unwinding unit. However, the troika rejected this plan (Dübel 2013).

Context: Cyprus 2011–2012	
GDP (SAAR, nominal GDP in USD)	\$27.6 billion in 2011
	\$25.0 billion in 2012
GDP per capita (SAAR, nominal GDP in USD)	\$32,485.8 in 2011
	\$28,991.9 in 2012
Sovereign credit rating (long-term debt)	Moody's: Baa3 *- in 2011
	S&P: BBB *- in 2011
	Fitch: BBB *- in 2011
	Moody's: B3 *- in 2012
	S&P: CCC+ in 2012
	Fitch: BB- in 2012
Size of banking system	\$7.3 billion in 2011
	\$8.4 billion in 2012
Size of banking system as a % of GDP	26.6% in 2011
	33.6% in 2012
Size of banking system as a % of financial system	Data not available in 2011
	Data not available in 2012
Five-bank concentration of banking system	98.6% in 2011
	97.4% in 2012
Foreign involvement in banking system	Data not available in 2011
	Data not available in 2012
Existence of deposit insurance	Yes in 2011
	Yes in 2012

Sources: Bloomberg; World Bank Deposit Insurance Dataset; World Bank Global Financial Development Database.

Key Design Decisions

- 1. Purpose: The CBC provided ELA to Laiki Bank, the second-largest bank in Cyprus, for more than a year to head off repeated depositor runs and to prevent its liquidation.**

After Laiki Bank lost EUR 2.3 billion on its Greek government bonds following the EU decision to haircut Greek government bonds in October 2011, the bank requested ELA from the CBC, with the consent of the ECB. Up until this point, the bank had been able to provide sufficient ECB-eligible collateral to meet its liquidity needs through ECB operations. An internal CBC report from October 31, 2011, stated that the ELA being provided to Laiki Bank was temporary and not meant to be a permanent source of funding but was needed to ensure prompt responsiveness to the bank's current needs, including deposit withdrawals (CBC 2013b; EC 2012; NYT 2014e).

According to the governor of the CBC, if the bank had not received the state support when it did, the bank would have lost its operating license. The governor argued that terminating ELA provision and revoking the operating license of both Laiki Bank and Bank of Cyprus (the two largest banks in Cyprus) was the only other option—which would have meant the liquidation of both banks and the bankruptcy of Cyprus when the deposit insurance scheme was called to protect both banks' insured depositors (CBC 2013b; Demetriades 2013).

Following the resolution of Laiki Bank in 2013, the new president of Cyprus launched a study on what caused the collapse of the Cypriot economy. The study concluded that Laiki Bank had been insolvent before the haircut of Greek bonds. It also discusses a viability assessment made by the CBC in April 2012, noting that the assessment was “glaringly unreliable,” as it “was not based on any scientific instrument, except for wishful thinking” (NYT 2014e, 20-21). A statement from the CBC in June 2013 disagreed, stating that the bank remained solvent until March 25, 2013. The CBC acknowledged the capital shortfalls at Laiki Bank and Bank of Cyprus but argued that, nonetheless, “these banks were considered solvent because of the prospect of recapitalisation through the financial assistance programme” (CBC 2013c). The statement specifically cited a preliminary memorandum of understanding from November 2012 that included EUR 10 billion for the recapitalization of Cypriot banks (CBC 2013c; NYT 2014e).

- 2. Part of a Package: The government of Cyprus provided the bank with a capital injection along with the CBC's providing ongoing ELA.**

In December 2011, when the EBA estimated the bank's capital shortfall at EUR 1.97 billion, the CBC required Laiki Bank to provide a plan for how it would reach a core Tier 1 ratio of 9% by June 2012. In January 2012, the bank submitted a plan that involved privately raising EUR 1.8 billion in new capital, converting EUR 600 million of debt into equity, and further boosting capital by the equivalent of EUR 400 million by shedding risky assets. When the bank was unsuccessful in attracting private investors, it asked the government to inject EUR 1.8 billion into the bank in the form of an unfunded sovereign bond in return for new common shares. The government agreed in May 2012 to recapitalize the bank via an

injection of government bonds and, on June 30, 2012, became an 84% shareholder (CBC 2011; CBC 2013b; EC 2012; Laiki Bank 2012b; Laiki Bank 2012a; Noonan 2013). For more information on the capital injection, see Schaefer-Brown (2024b).

From October 2011 to the resolution of the bank in March 2013, the bank received ELA from the government of Cyprus; it received loans from the ECB from October 2011 through June 2012 (CBC 2013b; EC 2012).

3. Legal Authority: The CBC had the power to provide ELA to Cypriot banks pending the approval of the ECB's Governing Council.

The provision of ELA is at the discretion of the CBC subject to the consent of the ECB's Governing Council. The CBC provides ELA to solvent banks upon the presentation of adequate collateral. ELA is not granted as a part of monetary policy, meaning the costs and risks are incurred by the central banks and not the ECB (NYT 2014e). The CBC has said that it "evaluates the seriousness of the situation and acts as a lender of last resort" (CBC 2013c).

As a member of the EU, Cyprus must comply with the prohibition on monetary financing contained in Article 123(1) of the Treaty on the Functioning of the European Union (TFEU),⁴ which reads (emphasis added):

Overdraft facilities or **any other type of credit facility** with the European Central Bank or with the central banks of the Member States (hereinafter referred to as 'national central banks') in favour of Union institutions, bodies, offices or agencies, central governments, regional, local or other public authorities, other bodies governed by public law, or **public undertakings of Member States** shall be prohibited, as shall the purchase directly from them by the European Central Bank or national central banks of debt instruments (EU 2009b, art. 123).

TFEU Article 123 prohibits the extension of liquidity to insolvent firms (at least without a state guarantee), which is considered a public undertaking (in other words, one that should be supported with state resources). While the ECB has its own implementing agreements and procedures to ensure compliance with TFEU Article 123 within the Eurosystem (see Key Design Decision No. 5, Governance), they are not legally binding;⁵ the monetary financing prohibition—including its application to emergency liquidity—is EU-level law, and thus applies even to those nations that are member states of the EU but not members of the

⁴ The TFEU, itself based on the Treaty of Maastricht of 1992, is one of the EU's two foundational treaties (the other being the Treaty on European Union). It sets out in detail the principles and objectives of the EU and the scope and functional responsibilities of EU institutions (the Treaty on European Union in contrast defines the EU's purpose and lays out its institutions and form). As a technicality, before the Lisbon Treaty came into effect in 2009, TFEU Article 123 was Article 101 of the Treaty Establishing the European Community, but the content was unchanged when the Lisbon Treaty relocated the article.

⁵ That is to say that those agreements and procedures implement EU law but are not themselves legally enforceable. Any legal actions resulting from a violation of the monetary financing prohibition would be enforced as EU law and, in practice, the issues are raised by the European Commission. See (Arnold 2025).

Eurosystem. For more on the application of the monetary financing prohibition to ELA, see Arnold (2025).

Article 14.4 of the Statute of the European System of Central Banks and of the European Central Bank (ESCB) authorizes the ECB's Governing Council to, with a two-thirds vote, prohibit the provision of ELA by a national central bank if it "[interferes] with the objectives and tasks of the ESCB" (EU 2009a). The ESCB, by virtue of being annexed (as Protocol No. 4) to the TFEU in 2009,⁶ has the same legal character as the TFEU. That is to say, although the ECB Governing Council may, from time to time, publish non-legally-binding procedural guidance, its authorization to prohibit or suspend national central bank activities under Article 14.4 of the ESCB is legally binding and statutory in nature. In practice, the ECB Governing Council has cited suspected TFEU Article 123 violations when suspending ELA provision by a national central bank (see Arnold [2025]; Key Design Decision No. 5, Governance).

4. Administration: The CBC was responsible for the ELA mechanism.

The CBC provided ELA to the bank at its discretion from October 2011 through March 2013. This ELA was subject to the consent of the ECB. The ECB allowed the ELA up until March 2013 when, on March 21, the ECB announced it would stop allowing the provision of ELA to the bank as of March 25, with a requirement to repay by March 26 (CBC 2013b; CBC 2013c). According to the CBC, while providing ELA, the CBC assessed and valued collateral on an ongoing basis using "appropriate valuation haircuts" determined by the type of collateral (CBC 2014, 71).

5. Governance: ELA is coordinated by the ECB and the national central banks.

The ECB allowed ELA to be provided to Laiki Bank from October 2011 through March 25, 2013. The ECB chose to terminate the ELA "due to the lack of clear and binding policy decisions on behalf of the Cypriot side to implement a preliminary agreed financial assistance programme" (CBC 2013c; CBC 2013b). Throughout the duration of the ELA, the CBC and the ECB were in communication regarding the ELA provision. The ECB raised questions about the capital levels of Laiki Bank and the collateral being used, and the CBC responded by insisting that the ELA provision was "absolutely vital" for Laiki Bank and the Cypriot banking sector (NYT 2014b; NYT 2014c; NYT 2014d).

Pursuant to Article 14.4 of the ESCB, the ECB Governing Council can, with a two-thirds vote, prohibit ELA provision by a national central bank (see Key Design Decision No. 3, Legal Authority). During the Global Financial Crisis and the European Sovereign Debt Crisis, the ECB Governing Council made that determination, variously suspending national central bank ELA and conditioning further approval for it on policy changes in the country in question (Arnold 2025).

⁶ Before the Lisbon Treaty, in Protocol No. 3 of the Treaty Establishing the European Community, as amended in 1997.

Although the ECB Governing Council's ability to suspend national central bank ELA has existed since well before the official publication of any guidelines, the ECB began to publicize non-legally-binding guidance on its ELA expectations in 2013. At that time, it published its ELA Procedures, which outlines numerous ex post reporting requirements, including, inter alia, amount, interest rate, collateral, supervisory assessment, and motivating reason (ECB 2013b). Further, if ELA exceeds EUR 500 million, the relevant national central bank must alert the ECB Governing Council of the extension of ELA as soon as possible before the fact. Under the ELA Procedures, any ELA exceeding EUR 2 billion will be automatically reviewed by the ECB Governing Council to ensure that it does not merit suspension or alteration resulting from its interference in ECB tasks and responsibilities as outlined in ESCB Article 14.4 (ECB 2013b).

In 2017, the ECB published its Agreement on Emergency Liquidity Assistance, which provided further guidance on the ECB's policies regarding ELA and replaced the earlier 2013 ELA Procedures (ECB 2017b). In the 2017 agreement, the ECB added language that clarified the limitations of the prohibition on monetary financing, noting that: "this document acknowledges that ELA must be in compliance with the prohibition of monetary financing (Art. 123 of the Treaty of the Functioning of the European Union [TFEU])" (ECB 2017a). It added further guidance to ELA procedures, requiring, inter alia, a funding plan within two months of the first extension of ELA, a letter to the president of ECB regarding the ELA if provided for more than six months, compliance with various solvency requirements, and a penalty interest rate. The ECB revised its ELA agreement in 2020 and most recently in 2024.

6. Communication and Disclosure: There was little to no communication or disclosure about the ELA until March 2013.

Up until March 2013, there was little communication specifically regarding ELA. Communication ramped up after March 21, when the ECB announced its decision to terminate approval for the CBC provision of ELA to Laiki Bank as of March 25. Both the ECB and the CBC released multiple statements regarding the resolution of Laiki Bank and the ELA that had been provided up until that point. On March 30, the CBC released two statements justifying the aid it had provided to Laiki Bank and explaining the resolution of Laiki Bank and restructuring of the Bank of Cyprus (CBC 2013a; CBC 2013b; CBC 2013c; ECB 2013c; ECB 2013a). An additional statement released by the CBC on June 17 specifically addressed the ELA provided to Laiki Bank. This statement explained the CBC's position that Laiki Bank had been solvent until March 25 "because of the prospect of recapitalisation through the financial assistance programme" (CBC 2013c).

A *Financial Times* article from March 20, 2013, described the ELA provided to Cypriot banks as "like fight club, the first rule of ELA is you do not talk about ELA" (Steen 2013).

7. Source and Size of Funding: In March 2013, the CBC had outstanding ELA to Laiki Bank of EUR 9.1 billion.

In October 2011, Laiki Bank began to receive ELA from the CBC. Up until this point, Laiki Bank had had adequate collateral to conduct monetary policy operations directly with the

ECB. The amount channeled through the ELA mechanism continued to increase until Laiki Bank's resolution in 2013 (CBC 2013b).

At the time the Cypriot authorities resolved the bank in March 2013, the CBC's outstanding ELA to Laiki Bank was at EUR 9.1 billion. These obligations were transferred to the Bank of Cyprus during the resolution process (CBC 2014).

8. Rates and Fees: Research has not revealed rates and fees associated with the ELA provided to Laiki Bank.

Research revealed little information on any rates and fees of the ELA provided to Laiki Bank. The CBC annual report for 2013 said that ELA provision was interest bearing with a rate that was higher than the rate applied by the Eurosystem for the marginal lending facility, the margin determined by taking into consideration recommendations made by the Governing Council of the ECB (CBC 2014).

The rate on the marginal lending facility (the ECB's standing contingent liquidity facility, which offers overnight credit to banks against collateral at predetermined interest rates) during the time the Laiki Bank's ELA was in effect ranged from 1.5% to 2.3% (ECB n.d.).

9. Loan Duration: Laiki Bank began receiving ELA from the CBC in October 2011 and continued to receive ELA until it was resolved in March 2013.

Laiki Bank began requesting ELA from the CBC in October 2011, following the EU decision to haircut Greek government bonds (CBC 2013b; EC 2012). The CBC wrote that because ELA is granted in exigent circumstances for banks facing temporary liquidity problems, "the inherent duration of ELA is short" (CBC 2014, 71). However, it also added that, "in the event of protracted need, the provision of ELA is renewed at regular intervals of approximately 15 days" subject to the conditions and frameworks of the original ELA (CBC 2014, 71–72).

In January 2013, the ECB extended the ELA deadline for Laiki Bank until March 21, 2013. Previously, from July 2012 through January 2013, the CBC had been working to reach an agreement with the troika. The troika and government of Cyprus intended to sign a memorandum of understanding following a diagnostic check of Cypriot banks by PIMCO. PIMCO submitted its findings in January 2013, but at this point Cyprus was in a pre-election period, so the troika elected to abstain from any actions that could be interpreted as political intervention. This prompted the ECB's January decision to extend the ELA deadline. When the March 21, 2013, deadline came, the ECB's board of directors implemented the decision to cease the provision of ELA to Laiki Bank as of March 25 (CBC 2013b; ECB 2013c).

10. Balance Sheet Protection: The ECB needed to approve collateral the bank used to get ELA from the CBC.

The ECB had to approve collateral pledged to the CBC for the bank to receive ELA. This requirement proved an issue when the Cypriot government recapitalized the bank with an unfunded sovereign bond because the ECB did not allow this to be used as collateral to receive ELA. The CBC also agreed to provide the ELA only on the condition that the

government would counter-guarantee the loans, due to their substantial size and credit risk (Honohan 2024; Noonan 2013).

After the ELA became public, the CBC argued in its June 17, 2013, public statement that the bank had been solvent on a pro forma basis that excluded provisions for losses that an external consultant had predicted the bank would experience under an adverse scenario. The CBC also noted in that statement that its solvency analysis assumed the bank would receive new capital through a financial assistance program that the federal government had agreed to in a preliminary memorandum of understanding from November 2012; that MoU included EUR 10 billion for the recapitalization of Cypriot banks but was not executed before the bank's resolution in March 2013 (CBC 2013c).

On June 25, 2012, the Republic of Cyprus was downgraded by Fitch, making Cyprus government bonds no longer acceptable collateral for the ECB's monetary policy operations. After this, the bank's EUR 2.6 billion debt to the ECB was transferred to the CBC's ELA mechanism (CBC 2013b).

Between 2011 and 2013, Laiki Bank pledged every building it owned as well as batches of loans and bonds as collateral. Acceptable collateral included marketable and nonmarketable securities, credit claims, and real estate. The valuation of collateral by the ECB was based on market prices from financial information vendors, or, if these market prices were unavailable or unreliable, theoretical prices were used based on prices of similar securities or the assessment of the underlying assets. Haircuts were applied based on residual maturity and coupon type; when ratings fell below the Eurosystem threshold, additional haircuts were added depending on the rating shortfall and liquidity category. An additional 10% haircut was added for securities denominated in US dollars (Noonan 2013; NYT 2014a).

11. Impact on Monetary Policy Transmission: Research has not revealed impact on Cypriot monetary policy transmissions.

Research has not revealed additional impact on monetary policy transmissions.

12. Other Conditions: During the timeframe in which Laiki Bank received ELA from the CBC, the government imposed conditions as part of a capital injection received by the bank.

During the timeframe of the ELA, the government imposed several conditions as part of an ad hoc capital injection provided, which is the subject of another case study (see Schaefer-Brown [2024b]).

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